

# HOUSE BILL NO. 5579

February 24, 2026, Introduced by Reps. Tsernoglou, Wooden, Koleszar, Neeley, Morgan, Byrnes, Xiong, Breen, McFall, Young, Myers-Phillips, Brixie, Paiz, Price, Rheingans, Miller, Arbit, Dievendorf, Longjohn, Weiss, Conlin, Rogers, B. Carter, Tate, Fitzgerald, Liberati, Herzberg, Skaggs, MacDonell, Scott, Pohutsky, T. Carter, Wilson, Foreman, Andrews, Grant, Hoskins, Snyder, O'Neal, Martus, Wegela, Edwards, McKinney, Farhat, Steckloff, Coffia, Hope and Mentzer and referred to Committee on Economic Competitiveness.

A bill to prescribe the circumstances under which an employer, third party, or service provider may use an automated decisions tool or electronic monitoring tool; to require the retention of certain data and documents; to require an impact assessment of electronic monitoring tools and automated decisions tools; to require an employer to provide covered individuals and certain labor organizations notice of certain events; to require an employer to provide certain benefits to certain individuals under certain circumstances; to provide for the powers and duties of

certain state governmental officers and entities; to provide remedies; to prescribe civil sanctions; and to require the promulgation of rules.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       Sec. 1. This act may be cited as the "responsible artificial  
2 intelligence security for employees act".

3       Sec. 3. As used in this act:

4       (a) "Applicant" means an individual who applies or applied to  
5 be employed by, or otherwise perform work for remuneration for, an  
6 employer.

7       (b) "Automated decisions tool" means any computational  
8 process, including, but not limited to, computational processes  
9 derived from machine learning, statistical modeling, data  
10 analytics, or artificial intelligence, that issues simplified  
11 outputs, including, but not limited to, a score, classification, or  
12 recommendation, that is used to substantially assist or replace  
13 discretionary decision making for making employment decisions that  
14 affect a covered individual.

15       (c) "Covered individual" means an individual who is either of  
16 the following:

17       (i) An employee.

18       (ii) An applicant.

19       (d) "Data" means recorded information regardless of the form  
20 or the media on which the information is recorded.

21       (e) "Department" means the department of labor and economic  
22 opportunity.

23       (f) "Dependent" means an individual who receives more than 1/2  
24 of the individual's cost of support from the income of a covered  
25 individual, including any of the following of the covered

1 individual:

2 (i) Child, stepchild, adopted child, or grandchild, if the  
3 individual meets any of the following conditions:

4 (A) Is younger than 18 years of age.

5 (B) Is older than 18 years of age and because the individual  
6 has physical or mental infirmity, the individual is unable to  
7 engage in gainful employment.

8 (C) The individual is younger than 22 years of age and is a  
9 full-time student.

10 (ii) Spouse.

11 (iii) Parent if the parent is older than 65 years of age or is  
12 unable to engage in gainful employment.

13 (iv) Sibling if the sibling meets any of the following  
14 conditions:

15 (A) Is younger than 18 years of age and is orphaned or the  
16 living parents of the sibling are dependent parents to the covered  
17 individual.

18 (B) Is older than 18 years of age and because the sibling has  
19 physical or mental infirmity, the individual is unable to engage in  
20 gainful employment.

21 (C) The sibling is younger than 22 years of age and is a full-  
22 time student.

23 (g) "Director" means the director of the department or the  
24 director's designee.

25 (h) "Electronic monitoring tool" means any system that  
26 facilitates the collection of data concerning a covered  
27 individual's activities or communications by any means other than  
28 direct observation, including the use of a computer, telephone,  
29 wire, radio, camera, electromagnetic, photoelectronic, or photo-

1 optical system.

2 (i) "Employee" means an individual, or an authorized  
3 representative acting on behalf of an individual, who is employed  
4 by, or is an independent contractor who provides service to, or  
5 through, an employer that operates in the state.

6 (j) "Employer" means a person that employs, or otherwise  
7 engages for the performance of work for remuneration, 1 or more  
8 individuals in this state. Employer includes a third party or  
9 service provider that an employer uses for electronic monitoring or  
10 employment-related decisions.

11 (k) "Employment-related decision" means any decision made by  
12 an employer that affects wages, benefits, other compensation,  
13 hours, work schedule, performance evaluation, hiring, discipline,  
14 promotion, termination, job content, assignment of work, access to  
15 work opportunities, productivity requirements, workplace health and  
16 safety, and other terms or conditions of employment. For an  
17 independent contractor or applicant for employment, employment-  
18 related decisions means the equivalent of these decisions based on  
19 the independent contractor's or candidate's contract with or  
20 relationship to the employer.

21 (l) "Labor organization" means either of the following:

22 (i) Labor organization as that term is defined in section 2 of  
23 1939 PA 176, MCL 423.2.

24 (ii) Bargaining representative as that term is defined in  
25 section 1 of 1947 PA 336, MCL 423.201.

26 (m) "Person" means an individual or a partnership,  
27 corporation, limited liability company, association, governmental  
28 entity, or other legal entity.

29 (n) "Security breach" means the unauthorized access and

1 acquisition of data that compromises the security or  
2 confidentiality of personal information maintained by a person or  
3 agency as part of a database of personal information regarding  
4 multiple individuals.

5 (o) "Qualified characteristic" means an individual's race,  
6 color, religious creed, national origin, disability, sex, gender  
7 identity, sexual orientation, genetic information, pregnancy or a  
8 condition related to pregnancy, including, but not limited to,  
9 lactation or the need to express breast milk for a nursing child,  
10 ancestry, or status as a veteran.

11 Sec. 4. (1) Except as otherwise provided in subsection (2), an  
12 employer shall not use an automated decisions tool to make an  
13 employment-related decision.

14 (2) An employer may use an automated decisions tool to screen  
15 large volumes of job applications to do either of the following:

16 (a) Identify candidates who meet a set hiring criteria.

17 (b) Assess candidates based on job skills.

18 Sec. 5. (1) Except as provided in this act, an employer shall  
19 not use an electronic monitoring tool or automated decisions tool  
20 to collect a covered individual's data.

21 (2) An employer may use an electronic monitoring tool for only  
22 the following purposes:

23 (a) To allow an employee to accomplish or facilitate an  
24 essential job function.

25 (b) To monitor production processes or quality.

26 (c) To periodically assess an employee's performance.

27 (d) To ensure or facilitate compliance with state or federal  
28 labor or employment law.

29 (e) To protect the health, safety, or security of covered

1 individuals.

2 (f) To administer wages and benefits, if it can be determined  
3 that the electronic monitoring system uses only data regarding the  
4 city where the covered individual works and the costs of living in  
5 that area.

6 (g) To accomplish any other purpose that enables business  
7 operations as determined by the department.

8 (3) An employer that uses an electronic monitoring tool or  
9 automated decisions tool must do all of the following:

10 (a) Provide written notice that the employer is using an  
11 electronic monitoring tool or automated decisions tool to all  
12 covered individuals who are subject to the tool.

13 (b) Obtain written consent from each covered individual to  
14 electronically monitor or use an automated decisions tool on the  
15 covered individual in accordance with this act.

16 (c) Ensure that data collected through the electronic  
17 monitoring tool or automated decisions tool is accurate and up to  
18 date.

19 (d) Allow a covered individual to correct inaccurate data  
20 about that covered individual.

21 (e) Use the tool in a narrowly tailored manner to accomplish a  
22 purpose described in subsection (2) or section 4(2).

23 (f) Use the tool through the least invasive means possible for  
24 the covered individual whom the tool monitors.

25 (g) Ensure the tool applies to the smallest number of covered  
26 individuals, collects the least amount of data, and is used no more  
27 frequently than necessary to accomplish a purpose described in  
28 subsection (2) or section 4(2).

29 (h) Ensure that the tool does not collect any data of an

1 employee when the employee is off duty.

2 (4) An employer that uses an electronic monitoring tool for a  
3 purpose described in subsection (2) or an automated decisions tool  
4 for a purpose described in section 4(2) shall not do any of the  
5 following:

6 (a) Collect any of the following data of a covered individual:

7 (i) Health, medical, lifestyle, and wellness information,  
8 including, but not limited to, the covered individual's medical  
9 history, physical or mental condition, diet or physical activity  
10 patterns, heart rate, medical treatment or diagnosis by a health  
11 care professional, health insurance policy number, subscriber  
12 identification number, or other unique identifier used to identify  
13 the covered individual.

14 (ii) A qualified characteristic.

15 (iii) Information related to workplace activities, including,  
16 but not limited, all of the following:

17 (A) Human resources information, including contents of a  
18 covered individual's personnel file or performance evaluations.

19 (B) Work process information, such as productivity and  
20 efficiency information.

21 (C) Information that captures workplace communications and  
22 interactions, including emails, texts, internal message boards, and  
23 customer interaction and ratings.

24 (D) Device usage, including calls placed or geolocation  
25 information.

26 (E) Audio-video information and other information collected  
27 from sensors, including movement tracking, thermal sensors,  
28 voiceprints, or facial, emotion, and gait recognition.

29 (F) Inputs of or outputs generated by an automated decisions

1 tool that are linked to a covered individual.

2 (G) Online information, including a covered individual's  
3 internet protocol address, private social media activity, or other  
4 digital sources or unique identifiers associated with a covered  
5 individual.

6 (b) Identify, punish, or obtain data about a covered  
7 individual who engages in an activity that is protected under state  
8 or federal labor or employment law.

9 (c) Monitor bathrooms or other similar private areas,  
10 including, but not limited to, locker rooms, changing areas,  
11 breakrooms, smoking areas, employee cafeterias, lounges, areas  
12 designated to express breast milk, or areas designated for prayer  
13 or other religious activity. The prohibition under this subdivision  
14 includes data collection on the frequency of use of those private  
15 areas and conducting audio or visual monitoring of a workplace in  
16 an employee's residence, an employee's personal vehicle, or  
17 property owned or leased by an employee.

18 (5) An employer shall not use an electronic monitoring tool or  
19 automated decisions tool that is equipped with facial, gait, voice,  
20 or emotion recognition technology.

21 Sec. 7. (1) An employer that collects a covered individual's  
22 data shall retain the data for not more than 3 years after the date  
23 on which the purpose for using the electronic monitoring tool or  
24 automated decisions tool is achieved, unless otherwise specified by  
25 a collective bargaining agreement. If the employer does not use any  
26 specific data of a covered individual, the employer must delete  
27 that data immediately.

28 (2) An employer shall not sell or license a covered  
29 individual's data, including, but not limited to, data that is

1 deidentified or aggregated.

2 (3) An employer shall not share data collected under section 4  
3 or 5 with this state or a local unit of government unless otherwise  
4 necessary to do any of the following:

5 (a) Provide information to the department.

6 (b) Comply with the requirements of federal, state, or local  
7 law.

8 (c) Comply with a court-issued subpoena, warrant, or order.

9 Sec. 9. (1) Before an employer uses an automated decisions  
10 tool under section 4 or an electronic monitoring tool under section  
11 5, the employer shall conduct an impact assessment of the tool that  
12 meets all of the following requirements:

13 (a) Evaluates the tool's objectives, algorithms, data,  
14 cybersecurity vulnerabilities, and potential biases, including, but  
15 not limited to, discriminatory outcomes based on race, gender, or  
16 disability.

17 (b) Is conducted 1 year before the tool is implemented, or,  
18 for a tool already in use on the effective date of this act, not  
19 more than 6 months after the effective date of this act.

20 (c) Is conducted by an independent and impartial third party  
21 with no financial or legal conflicts of interests related to the  
22 use of the tool.

23 (d) Identifies and describes the attributes and modeling  
24 techniques that the tool uses to produce outputs.

25 (e) Evaluates whether the attributes and modeling techniques  
26 described in subdivision (d) are a scientifically valid means of  
27 evaluating a covered individual's performance or ability to perform  
28 the essential functions of a role, and whether those attributes may  
29 function as a proxy for belonging to a protected class under the

1 Elliot-Larsen civil rights act, 1976 PA 453, MCL 37.2101 to  
2 37.2804.

3 (f) Considers, identifies, and describes both of the following  
4 that may result in a disparate impact on a covered individual based  
5 on the covered individual's qualified characteristic, and what  
6 actions may be taken by the employer to reduce or remedy any  
7 disparate impact.

8 (i) Any disparities in the data used to train or develop the  
9 tool.

10 (ii) Any outputs produced by the tool.

11 (g) Evaluates whether the use of the tool may limit  
12 accessibility for covered individuals with disabilities, or for  
13 covered individuals with any specific disability, and what actions  
14 may be taken by the employer to reduce or remedy the limit on  
15 accessibility.

16 (h) Considers and describes potential sources of adverse  
17 impact against covered individuals or groups based on a qualified  
18 characteristic that may arise after the tool is implemented.

19 (i) Identifies and describes any other assessment of risks of  
20 discrimination or a disparate impact of the tool on covered  
21 individuals or groups based on a qualified characteristic, and what  
22 actions may be taken to reduce or remedy that risk.

23 (j) For any finding of a disparate impact or limit on  
24 accessibility, evaluates whether the data set, attribute, or  
25 feature of the tool at issue is the least discriminatory method of  
26 assessing a covered individual's performance or ability to perform  
27 job functions.

28 (k) Considers and describes any other ways in which the tool  
29 could result in a violation of applicable law and, for any finding

1 that a violation of law may occur, any necessary or appropriate  
2 steps to prevent a violation.

3 (l) Considers and describes whether use of the tool may  
4 negatively affect a covered individual's privacy or job quality,  
5 including wages, hours, and working conditions.

6 (2) Not more than 60 days after an employer completes an  
7 assessment, the employer shall do both of the following:

8 (a) Submit the assessment in its entirety or in an accessible  
9 summary form to the department for the department to include in a  
10 public registry of impact assessments.

11 (b) Distribute the assessment to covered individuals who may  
12 be subject to the tool.

13 (3) An employer shall conduct or commission subsequent impact  
14 assessments each year in which the electronic monitoring tool or  
15 automated decisions tool is in use. Subsequent impact assessments  
16 must comply with the requirements of subsection (1), as applicable,  
17 and must assess and describe any change in the validity or  
18 disparate impact of the tool.

19 (4) An employer shall retain all documentation pertaining to  
20 the design, development, use, and data of an electronic monitoring  
21 tool or automated decisions tool that may be necessary to conduct  
22 an impact assessment. The documentation includes, but is not  
23 limited to, the source of the data used to develop the tool, the  
24 technical specifications of the tool, individuals involved in the  
25 development of the tool, historical use data for the tool, and a  
26 historical record of the versions of the tool the employer uses.

27 (5) A service provider that contracts with an employer to  
28 provide electronic monitoring or automated decisions shall allow  
29 the employer access to the documentation described in subsection

1 (4) .

2 (6) An employer shall share the documentation described in  
3 subsection (4) with a labor organization as required under law or  
4 as required by a court or agency in connection with any employment  
5 or labor litigation to which the employer is a party.

6 (7) The documentation described in subsection (4) must be  
7 stored in manner as prescribed by the director. The director shall  
8 prescribe the manner so that the documentation is legible and  
9 accessible to the party that conducts an impact assessment of the  
10 tool.

11 Sec. 11. (1) If an employer has a security breach of data  
12 collected through an electronic monitoring tool or automated  
13 decisions tool, the employer must do all of the following:

14 (a) Promptly secure the electronic monitoring systems or  
15 automated decisions tools, mitigate harm, and certify that  
16 corrective steps were taken.

17 (b) Not more than 48 hours after the discovery of the security  
18 breach, provide notice of the security breach to all of the covered  
19 individuals whose data is affected by the security breach. The  
20 notice must include all of the following:

21 (i) A summary of how the breach occurred.

22 (ii) The specific data that was compromised, if known.

23 (iii) How the employer is responding to the security breach.

24 (iv) Information on any necessary steps the employee can take  
25 to help secure the employee's data or apply for employer-covered  
26 protections under subdivision (c) .

27 (c) Provide all of the following to the covered individuals  
28 whose data is affected by the security breach:

29 (i) Ten years of paid premium identity theft protection and

1 insurance, including, but not limited to, an insurance policy of  
2 not less than \$5,000,000.00 that covers financial loss, expense  
3 reimbursement, and legal fees for each affected covered individual.

4 (ii) Comprehensive credit monitoring that also covers a covered  
5 individual's dependents if the dependents' data is compromised.

6 (iii) Dark web monitoring.

7 (iv) Account breach alerts.

8 (v) A 3-bureau credit freeze.

9 (vi) Expert fraud remediation that is based in the United  
10 States.

11 (vii) Social Security number monitoring and the cost of  
12 reissuance.

13 (viii) Bank fraud and financial transaction monitoring.

14 (d) Provide notice of the security breach to the department  
15 and the attorney general.

16 (2) After a security breach has occurred as described in  
17 subsection (1), the employer must contract with a third party to  
18 perform an audit of the electronic monitoring tool or automated  
19 decisions tool to ensure that any vulnerabilities have been fixed.

20 Sec. 13. (1) If an employer uses an electronic monitoring tool  
21 or automated decisions tool, the employer must display a poster at  
22 the employer's place of business, in a conspicuous place accessible  
23 to the employer's employees, that includes, but is not limited to,  
24 notice of the use of an electronic monitoring tool or automated  
25 decisions tool.

26 (2) Not less than 30 days before an employer implements an  
27 electronic monitoring tool or automated decisions tool, the  
28 employer shall provide notice, in writing, of the tool's use to all  
29 of the employer's employees. The employer shall also include the

1 notice in every job posting, post the notice on the employer's  
2 website, provide the notice directly to every applicant, and make  
3 the notice available in accessible formats that account for the  
4 applicant's first language, if it is not English, and any  
5 disability the applicant may have. The notice must provide a  
6 covered individual with the ability to opt out of the electronic  
7 monitoring tool or automated decisions tool.

8 (3) If a covered individual opts out of the use of an  
9 electronic monitoring tool or automated decisions tool under  
10 subsection (2), the employer shall not use the electronic  
11 monitoring tool or automated decisions tool to make any employment-  
12 related decisions for that covered individual.

13 Sec. 15. (1) A covered individual aggrieved by a violation of  
14 this act, or a person acting on behalf of a covered individual  
15 aggrieved by a violation of this act, including, but not limited  
16 to, a labor organization, may bring an action for damages,  
17 injunctive relief, or both. A court may award economic damages,  
18 noneconomic damages, or both plus costs and attorney fees to a  
19 plaintiff who prevails in an action brought under this section.

20 (2) A person that violates this act is subject to a civil fine  
21 of not more than \$500.00. The prosecutor of the county in which the  
22 violation occurred or the attorney general may bring an action to  
23 collect the fine. The court may issue an injunction to enforce  
24 compliance with this act and award costs and reasonable attorney  
25 fees for the action.

26 Sec. 17. (1) This act provides minimum standards for the use  
27 of an electronic monitoring or automated decisions tool and must  
28 not be construed to preempt, diminish, or interfere with the right  
29 of employees to collectively bargain under section 30 of 1939 PA

1 176, MCL 423.30 or section 15 of 1947 PA 336, MCL 423.215, over the  
2 terms and conditions of employment, including, but not limited to,  
3 protections against surveillance-based wage discrimination.

4 (2) If an employer's employees are covered by a collective  
5 bargaining act in effect on the effective date of this act and the  
6 employer intends to use an electronic monitoring tool or automated  
7 decisions tool, the employer must provide notice of the use in  
8 accordance with section 13 and an opportunity to bargain over the  
9 intended use of the tool to set or influence employee wages or  
10 other terms and conditions of employment.

11 (3) If an employer's employees are covered by a collective  
12 bargaining agreement in effect on the effective date of this act,  
13 not less than 30 days before the start of any collective  
14 bargaining, the employer must provide the employees' bargaining  
15 representative with necessary information for bargaining,  
16 including, but not limited to, data collected, impact assessments,  
17 and data breaches that have occurred.

18 (4) Any rights or protections negotiated through a collective  
19 bargaining agreement that exceed the requirements of this act are  
20 fully enforceable and must not be considered waived or precluded by  
21 compliance with this act.

22 (5) This act does not diminish an employer's obligation to  
23 provide advance notice to and to engage in good-faith negotiations  
24 with a labor organization that represents any portion of the  
25 employer's employees before the employer implements an electronic  
26 monitoring tool or automated decisions tool.

27 Sec. 19. The department of labor and economic opportunity  
28 shall promulgate rules to implement this act under the  
29 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to

**1** 24.328.